



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Kirk Pelsner, Economic Development Director
BY: Joseph Cale, Management Analyst
DATE: August 4, 2026
SUBJECT: Award of Business Attraction and Expansion Program Grant – Application ED20265-0017 (Tuscano’s Pizza & Pasta)

Description: Consideration of a \$50,000 forgivable loan under the Downtown Business Attraction and Expansion Program for Application ED2025-0017 to support a qualifying downtown business investment.

Motion:

If the City Council determines that staff’s recommendation is appropriate, the following motion is provided:

I move to approve the award of a forgivable loan under the Downtown Business Attraction and Expansion Program for Application ED2025-0017 in the amount of \$50,000 and find that the forgivable loan serves a valid public purpose by promoting economic development, encouraging private investment, supporting business attraction and expansion, creating and retaining employment opportunities, and activating commercial spaces.

Recommendation:

Staff recommends that the City Council approve the award of a forgivable loan under the Downtown Business Attraction and Expansion Program for Application **ED2025-0017** in the amount of **\$50,000** to support the expansion of an existing sit-down restaurant.

Discussion:

The Downtown Business Attraction and Expansion Program provides loans to eligible sales tax-generating businesses that create jobs, increase foot traffic, and activate the downtown area with caveats for forgiveness. Application **ED2025-0017** proposes a sit-down restaurant expansion within the Downtown Program Area and satisfies all

eligibility requirements under the adopted Program Guidelines. The funds will be utilized for working capital.

This restaurant expansion includes plans to develop a portion of the adjacent parking lot to accommodate the expansion of the existing restaurant. Under the Beaumont Municipal Code, additions to existing restaurants that increase the gross floor area by no more than 10 percent or 5,000 square feet – whichever is less – are exempt from Planning Division processing. The proposed expansion would continue to meet required parking standards, as the total new building area would necessitate approximately six (6) off-street parking spaces, and adequate parking is available within the adjacent lot.

The application package was accepted as complete and routed through the required inter-departmental review process. One designated staff member completed the formal scoring in accordance with the adopted criteria, and all other required departments reviewed the scoring and formally concurred on the program scoring sheet. The final score meets the program threshold for funding, and the project is consistent with the City's adopted downtown economic development objectives. The program is structured to protect public investment through a formal agreement and performance-based compliance requirements.

The Downtown Business Attraction and Expansion Program was adopted by City Council in December of 2022 following significant input regarding program design by the Council, the Economic Development Committee and downtown business stakeholders. Only one additional application has been approved by Council thus far.

As adopted, the Program puts the City's Finance Director in the role of Program Administrator. It is important to note that, while the adopted Program guidelines and policies are meant to be reasonable and thorough from an industry best practices perspective, municipalities are not typically in the financial loan/grant industry and, as such, City staff, including the Finance Director as Program Administrator, are not able to apply the same level of underwriting scrutiny to a loan or grant that the commercial lending industry would. Instead, the City Council has created and offered a loan/grant program meant to be used as an incentive to assist the downtown area in growing its commercial diversity. These types of programs carry an inherent level of risk, particularly with respect to restaurant uses. This program is not unlike what many California cities used to successfully fund with redevelopment tax increment monies. Having noted these risks, Economic Development staff does recommend that the Council approve this application, which meets the review standards within our adopted Program and represents a relatively modest amount of **\$50,000** for a quality restaurant use at the key location of Beaumont Avenue and 6th Street.

The adopted Program is structured so that that an approved **\$50,000** loan is forgivable as follows:

<u>Amount of Loan</u>	<u>Forgiveness Qualification/Reporting Period</u>
Up to \$25,000	Three years of consecutive operations
\$50,000	Five years of consecutive operations

If the borrower fails to meet the required milestones, the loan will begin accruing interest. The interest rate will be equal to the average rate earned by the City's investment in the California Local Investment Funds (LAIF). Any interest that accrues and remains unpaid will be added to the loan principal on a monthly basis and will thereafter accrue interest as part of the principal balance. All outstanding principal and accrued interest will be due and payable in accordance with the repayment terms established in the Note.

Public Benefit:

The proposed forgivable loan is consistent with the City's Business Attraction and Expansion Forgivable Loan Program and serves a valid public purpose by promoting economic development within the City of Beaumont. The financial assistance is intended to encourage private investment that may not otherwise occur, support business attraction and expansion, create and retain employment opportunities, activate commercial spaces, increase foot traffic, strengthen the local economy, and expand the City's sales tax base. Staff has determined that the anticipated public benefits generated by the proposed project are expected to exceed the value of the financial assistance provided. Accordingly, approval of the proposed agreement is consistent with the public purpose of the Program and represents an appropriate investment in the City's long-term economic vitality.

Fiscal Impact:

Funding for this project is included in the current budget and available under GL Account 100-1235-7096-0000, which currently has **\$220,000** available.

The cost to prepare this staff report is estimated at \$250.

Alternatives:

Decline to approve and provide Staff with direction.

Attachments:

- A. Inter-Departmental Scoring Sheet
- B. Program Agreement